

A cleaner way to measure the actual daily premium of short option positions.

PREMIUM PER DAY (PPD)

A Practitioner's Framework
by Sam Vishwas | OTS Ullu

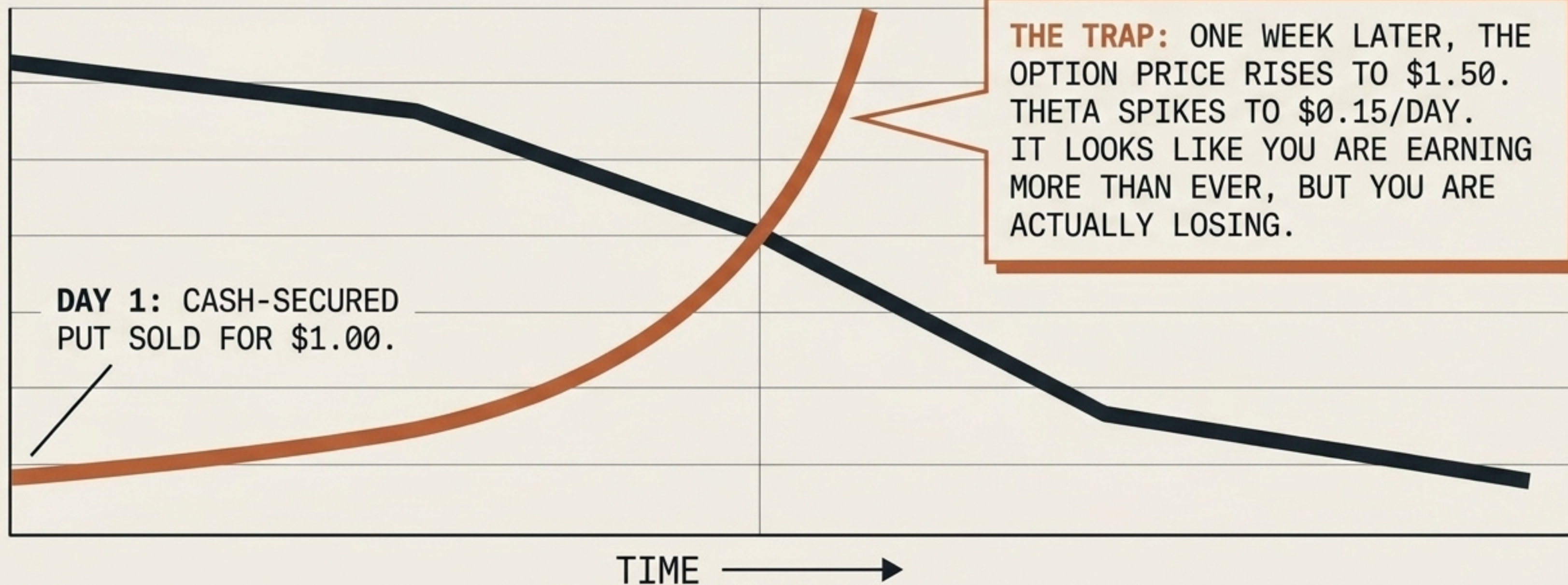
Based on the analysis of 3,700+ short-option trades executed over 13 months.

Traders instinctively reach for theta, assuming daily decay will reveal what they are collecting per day. It does not.

Theta tracks the option's current market value. Current market value is distinctly different from the premium you actually collected.

THETA FALSELY SIGNALS HIGH INCOME EXACTLY WHEN YOUR POSITION IS BLEEDING.

THE THETA TRAP CURVE



THE UNDERLYING GAP: THE GREEKS DESCRIBE THE OPTION'S BEHAVIOR, NOT WHAT YOU HAVE ACTUALLY TAKEN IN.

Separating the live market mark from the actual premium collection.

THE MARK

Metric: **Theta & Daily Decay**

What it measures: How the option's price moves with time.

The Danger: Invisible when winning, highly costly when the trade turns.

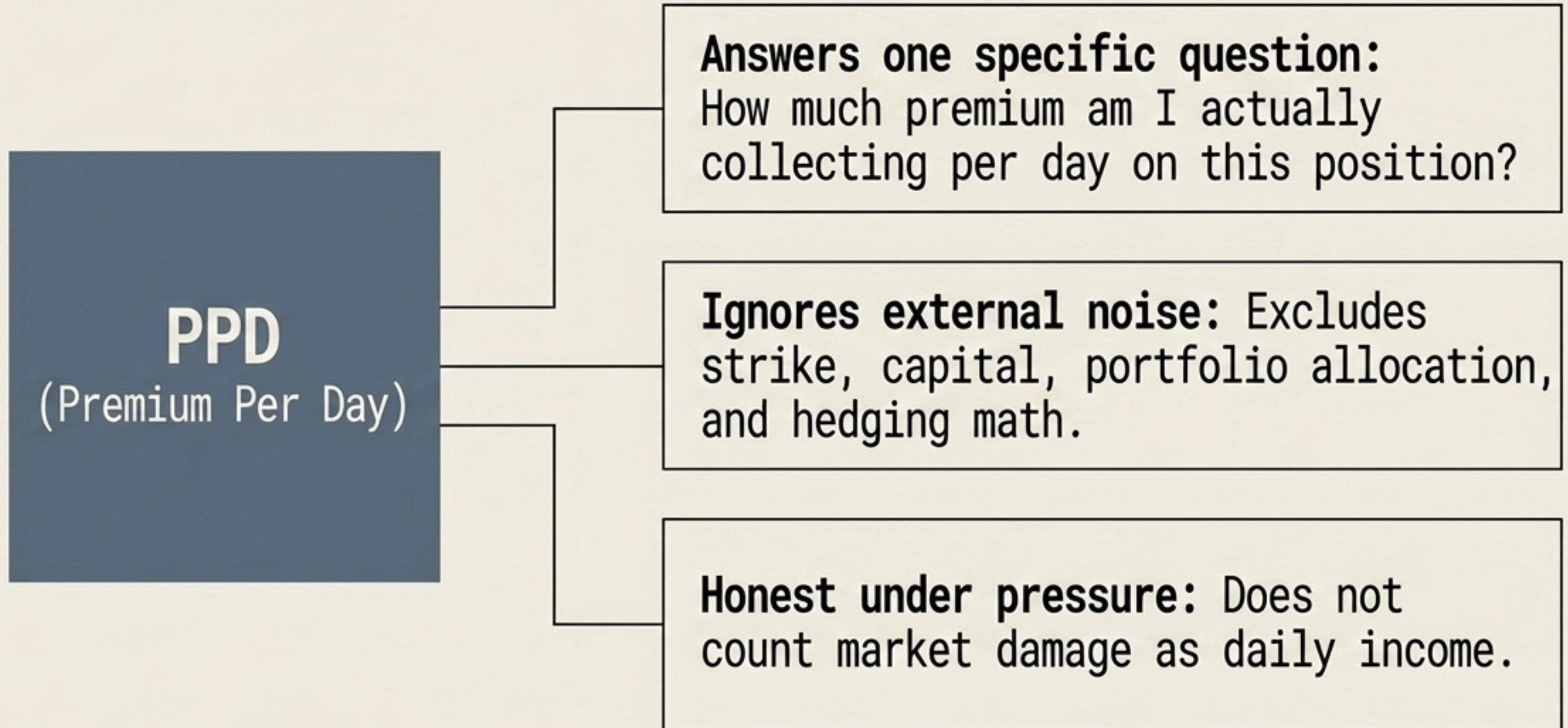
THE COLLECTION

Metric: **Premium Per Day (PPD)**

What it measures: The actual, raw daily premium available to

The Advantage: Strips away capital, efficiency, and hedging math to report absolute truth.

Defining a pure, position-level metric for actual premium collection.



The four required inputs are already visible on your trade ticket.

1. Opening Premium

The initial credit collected when the option was originally sold.

2. Current Premium

The live cost to close the position today. Must use the Ask you would actually pay, never the midpoint.

3. DTE

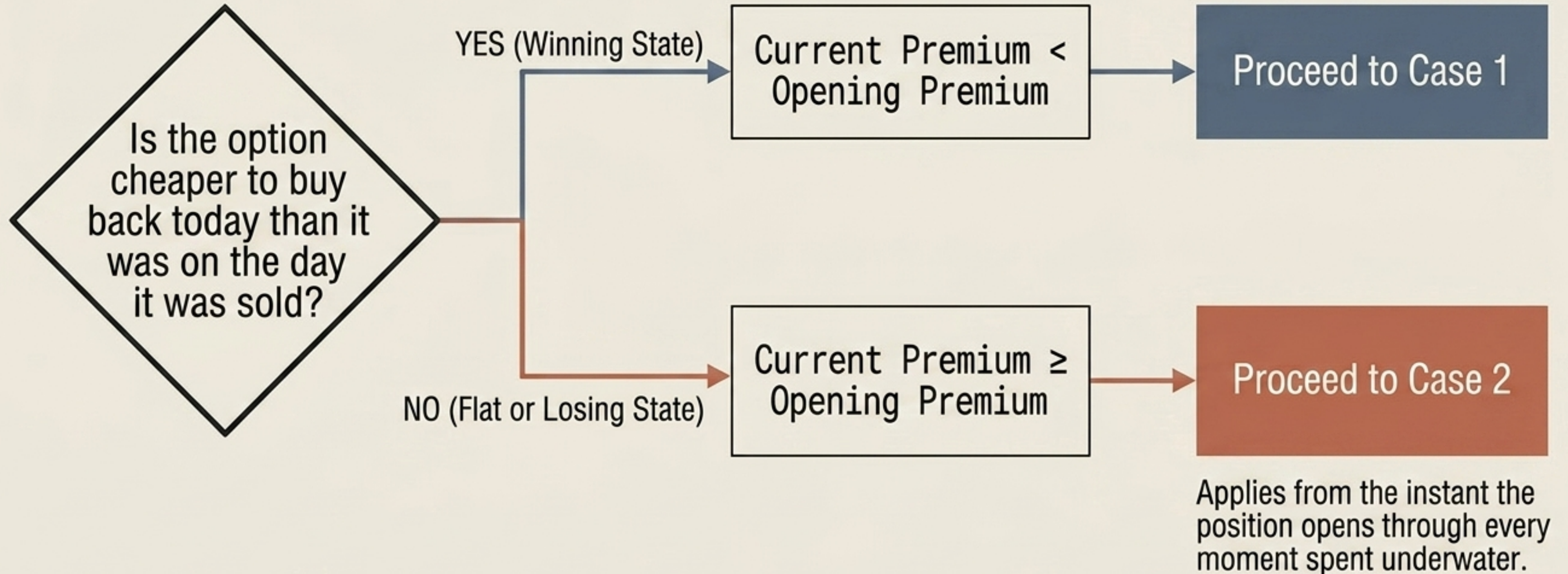
Days remaining until expiry.

4. Tenor

The total lifecycle days between the open date and expiry date.

CRITICAL RULE: Units must remain strictly consistent across all inputs—measure entirely per share or entirely per contract. Never mix them.

The math adapts based on a single threshold question about the option's current price.



Case 1: Calculating the winning state where the live mark shows remaining value.

$$\text{PPD} = [\text{Current Premium}] \div [\text{DTE}]$$

The live mark shows what remains on the table.

Days remaining until expiry.

The Insight: As the option gives up value, the collapse in remaining premium heavily outweighs the shrinking calendar days. The true per-day value you are extracting is actively dropping.

Case 2: The flat or losing state where original credit acts as an absolute ceiling.

$$\text{PPD} = [\text{Opening Premium}] \div [\text{Tenor}]$$



The Core Logic:

- You cannot collect more than the original credit taken in.
- Dividing an unchanged credit by shrinking DTE creates an artificial, false spike.
- Tenor does not shrink with the calendar. Dividing by the full life of the trade (Tenor) keeps the per-day ceiling perfectly honest.
- The live mark shows the damage sustained; PPD refuses to count damage as income.

Tracking a 30-day put sold for \$1.00 across three distinct market states.

State	Current Premium	Case	PPD	What Theta Can Do
Day 1, opened	\$1.00	2 (current = open)	\$0.033 / day	Roughly matches PPD
Day 10, winning	\$0.40	1 (current < open)	\$0.020 / day	Falls with remaining value
Day 10, losing	\$1.40	2 (current > open)	\$0.033 / day	Can rise: the misleading read

 If the losing position recovers, PPD automatically reverts to Case 1 without manual reset.

Reading PPD movements as actionable position management signals.



Falling PPD (Case 1)

The State: Remaining collection per remaining day is actively shrinking.

The Signal: Time to ask if the leftover premium still justifies holding the leftover risk.



Frozen PPD (Case 2)

The State: PPD is locked at the original credit divided by tenor.

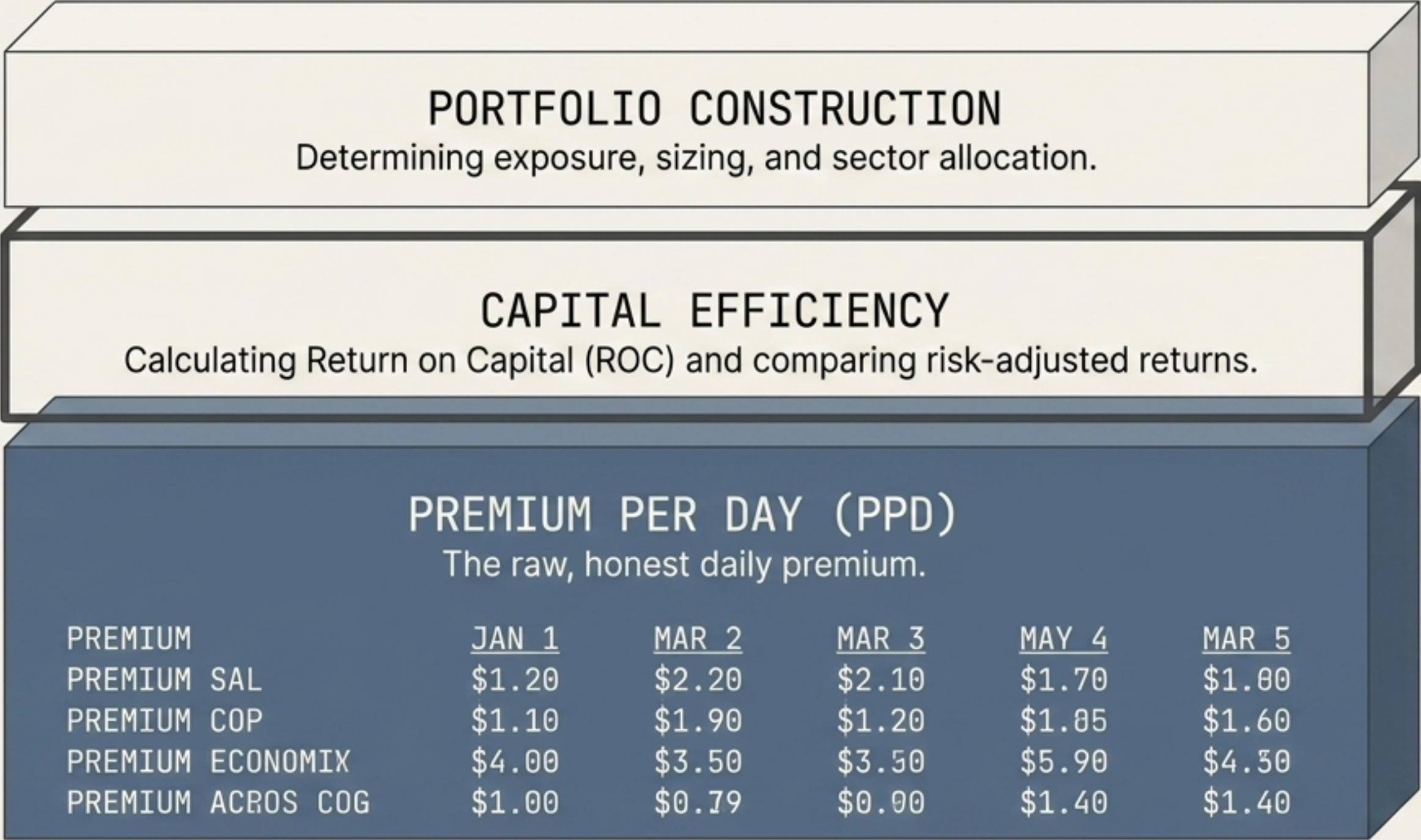
The Signal: You are no longer collecting. You are merely holding risk against a credit you have already received.

CORE RULE: PPD ranks; it does not size. Size from risk, rank with PPD.

Critical errors that compromise the integrity of the metric.

MISCONCEPTION	CORRECTION
Treating Theta as collection.	Theta moves with price and volatility; PPD moves only with premium and dates.
Using Tenor when Case 1 applies.	The denominator for winning trades must be DTE, not Tenor.
Computing planned PPD from the midpoint.	Always use the Ask you would actually pay to close.
Reading PPD as permission to trade.	PPD ranks positions; it does not approve them. Filters (earnings, exposure) apply first.
Treating multiple high-PPD positions as independent.	Shared sectors or expirations equal one bet spread across several tickets.
Annualizing short-dated figures.	For short-dated trades, raw PPD plus max loss is the only honest read.

PPD is the foundational prerequisite for true portfolio analysis



The Synthesis Insight:
You cannot move to capital calculations without a perfectly clean, honest per-day figure underneath them. PPD is the input that feeds the entire stack.

Two cases. Two formulas. One figure that remains completely honest.



Every short-option position carries a per-day premium, but standard tools based on market value are most misleading at the exact moment a trade turns.

PPD refuses to follow market value off a cliff.

When winning, it measures what remains against the days that remain. When losing, it caps the figure at the amount collected and spreads that ceiling across the full tenor.

Stop tracking the mark. Start tracking the collection.

System architecture and methodology by OTS Ullu.

Author Profile

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Platform Info

- OTS Ullu: A FinTech platform helping individual investors apply the systematic discipline of an institutional desk.
 - Download the full PDF version at otsullu.com.
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This presentation is for educational purposes only and does not constitute financial advice. Short options can produce losses larger than the premium received. Always understand margin requirements and log realized collection against theoretical PPD to account for slippage and early assignment.